

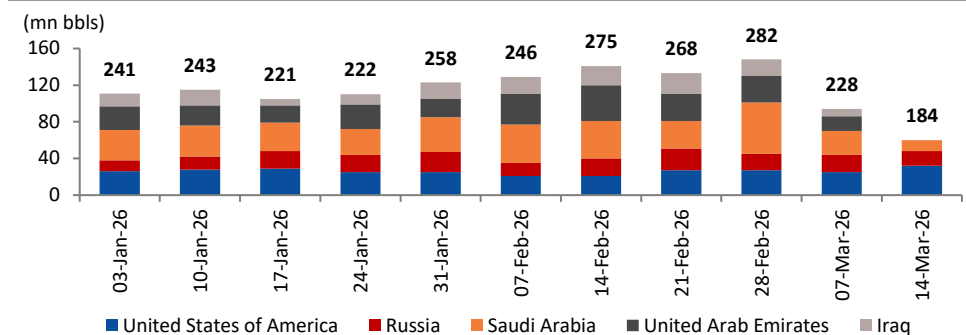
19 March 2026

Oil & Gas

Crude @110/bbl while LNG price touching \$20/mmbtu: Few Observations

Crude oil flow: Total crude oil export volume declined to 228mn bbls for the week ended 7th Mar and subsequent to 184mn bbls for the week ended 14th Mar compared to 268mn bbls per week in Feb'26. Drop is largely attributed to lower volume from Middle East. Saudi Arabia dropped to 26mn bbls and 12 mn bbls in the 1st and 2nd week of March vs avg of 42 and 33 mn bbls per week in Feb'26. Similarly, Iraq and UAE export volume declined by 12mn and 17mn bbls in the first week of Mar'26 vs Feb'26 avg and became nil in subsequent month. Apparently, export from US rose to 25 and 32mn bbls vs 24mn bbls, respectively. There was no notable changes in the rest of the countries.

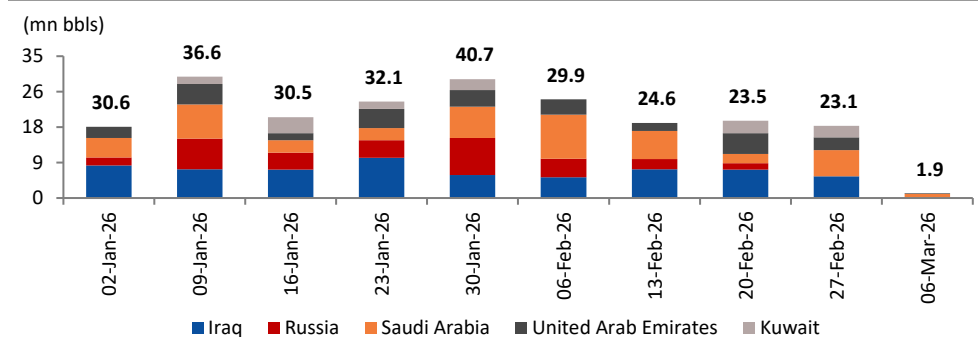
Exhibit 1: Crude Oil Export Volumes Fall as Middle East Supply Weakens



Source: Company, Systematix Research

India's crude import also took a big hit: As per the data from Bloomberg, India's import volume also nosedived to just 1.9mn bbls at week ended 6th Mar vs 25mn bbls per week in Feb'26 and 35mn bbls per week in Mar'26. Though data is not available but it must be very low at the end of 2nd week as well which picked up from the third week.

Exhibit 2: India's Crude Imports Plunge Sharply in Early Mar'26



Source: Company, Systematix Research

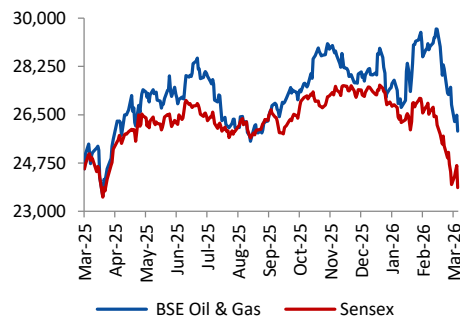
Estimated trade deficit on crude oil and petroleum products is estimated to be widened by USD 4 bn+ MoM in Mar'26 TD and rising: India's crude basket price (mix of 78.7% of Dubai+Oman and 21.3% of Brent) averaging at USD 111.4/bbl in Mar'26 till date compared to USD 69/bbl averaged in Feb'26. Even at yesterday's price, calculated trade deficit on crude oil and petroleum product is estimated at USD 4 bn. Further, current India's crude oil basket price is USD 146/bbl and if stays for rest of the month, it may see further addition of USD 2.4bn+. With every USD increase in crude oil price, oil import bill rises by nearly USD 166 mn per month.

SECTOR UPDATE

Industry

Oil & Gas

BSE Oil & Gas v/s Sensex



Source: BSE, Systematix Research

Sector Recommendations

Company	Mkt Cap (Rs bn)	TP (Rs)	Rating
RELIANCE	18,838	1,700	BUY
DEEPIIND	24	693	BUY
GOLI	46	1,660	BUY
MGL	99	1,374	BUY
GUJGAS	243	447	HOLD
IGL	217	226	BUY
GAIL	952	176	HOLD
PLNG	408	342	BUY

Source: BSE, Systematix Research

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Exhibit 3: Monthly Import/Export Volumes for different Products

Products	Monthly sales volume ('000mt)	Monthly sales volume (mn bbls)	Price @Feb'26 end (USD/bbl or mt)	Current price (USD/bbl or mt)	Value (USD mn)
Import					
Crude oil	22,917	166	69	111.4	7,045
LPG	2,088	-	545	610.0	136
Naphtha	104	1	69	126.4	53
Fuel oil	294	2	63.8	113.6	99
Others (Lube oil, Petcoke, Bitumen etc.)	2,138	-	-	-	190
Total Import	27,541				7,522
Export					
Petrol	1,565	14	79.9	139.0	823
Diesel	2,618	20	95.7	190.5	1,889
ATF	671	5	93.4	197.5	566
Naphtha	564	5	69.0	126.4	288
Others	424	-	-	-	68
Total Export	5,842				3,634
Net Deficit Per Month					(3,888)

Source: Company, Systematix Research

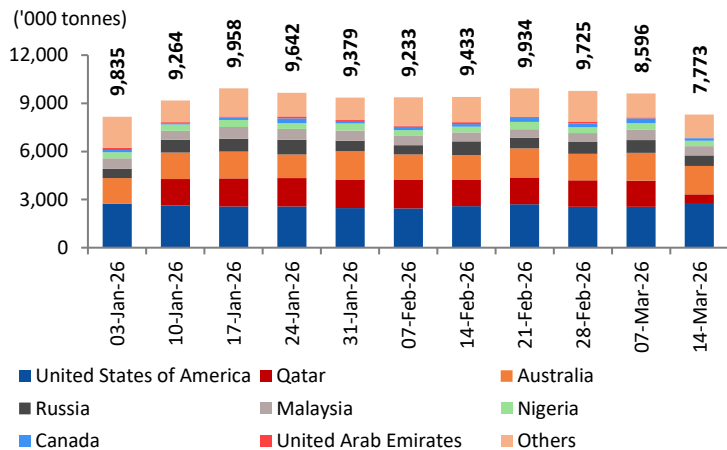
Industry's estimated marketing loss on petrol/diesel is ~Rs88 bn in Mar'26 TD, losing over Rs20 bn+ every day at current cracks: Even if we assume 2-5% lower petrol/diesel volume in Mar'26 over Feb'26, estimated loss for the industry is nearly Rs90 bn in March'26 till date on the sale of petrol and diesel. On a 15 days average basis, currently OMCs are losing Rs36/ltr on diesel and Rs17.5/ltr on petrol. However, at yesterday's crack, losses widens to Rs55+ and Rs25+ on diesel and petrol, respectively. At current prices, daily losses are mounting to Rs20 bn/day, partially offset by higher refining profits. We expect retail prices to rise very soon in order to limit the losses.

Exhibit 4: Under-Recoveries Balloon as Fuel Prices Lag Market Reality

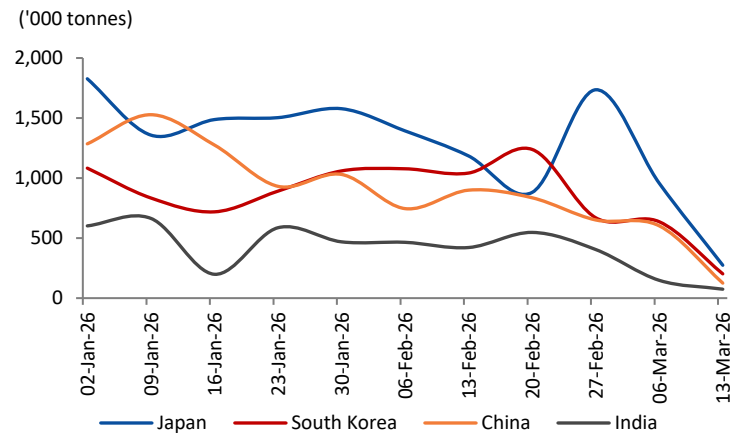
Month	Margins (Rs/ltr)		Marketing profit/(loss) (Rs mn)		
	Diesel	Petrol	Diesel	Petrol	Total
Apr-25	10.4	12.8	1,06,882	59,826	1,66,708
May-25	11.8	13.4	1,26,109	68,339	1,94,448
Jun-25	8.7	10.9	87,767	51,756	1,39,523
Jul-25	6.2	11.1	56,486	52,166	1,08,651
Aug-25	6.6	10.7	53,946	51,392	1,05,338
Sep-25	5.7	9.4	47,672	43,079	90,750
Oct-25	5.7	10.7	53,866	52,735	1,06,601
Nov-25	2.3	9.6	24,430	45,481	69,912
Dec-25	6.9	10.2	72,664	49,012	1,21,676
Jan-26	8.2	12.8	81,079	60,774	1,41,853
Feb-26	3.5	11.5	33,045	52,342	85,387
Mar-26 TD	(14.7)	(2.0)	(82,964)	(5,170)	(88,133)
FY26 TD	5.1	10.1	6,60,983	5,81,732	12,42,715

Source: Company, Systematix Research

LNG Flow: Total LNG export volume declined to 8.6mmt for the week ended 7th Mar and subsequent to 7.8mmt for the week ended 14th Mar compared to 9.6mmt per week in Feb'26. Drop is largely attributed to lower volume from Qatar which dropped from 1.7mmt to 0.06mmt. However, export from the US rose to 2.7mmt from 2.57mmt, respectively. Volume from major importers like Japan, South Korea, China and India also declined sharply from 1.3/1.0/0.8/0.5mmt per week in Feb'26 to 0.3/0.2/0.1/0.07mmt during the second week of Mar'26. Consequently, we have seen a sharp increase in prices in recent weeks which doubled from USD 10/mmbtu to nearly USD 20/mmbtu. With the recent strike at energy facilities across the Gulf countries, we might see further rise in prices and disruption of volume which may have a significant impact on energy deficient countries like India.

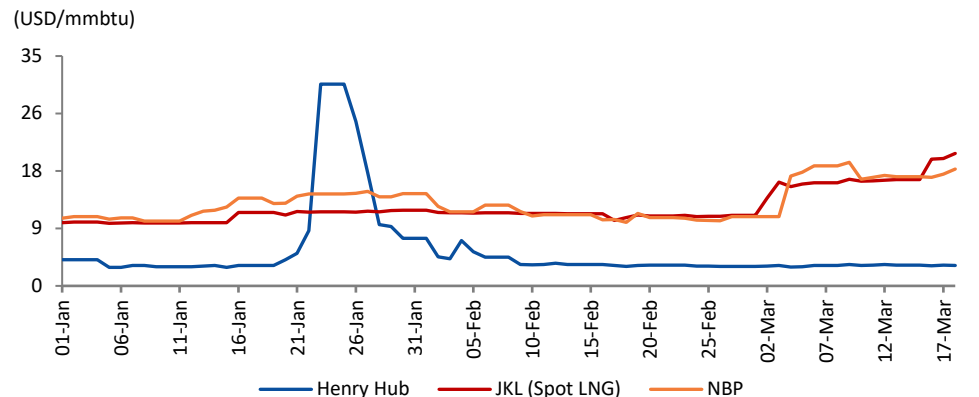
Exhibit 5: LNG Exports Decline Amid Qatar Supply Disruption

Source: Company, Systematix Research

Exhibit 6: Asia LNG Imports Contracts & Price Spike

Source: Company, Systematix Research

Though spot LNG is up, HH still holding up: Spot LNG price reacted to the supply constraints and moved up to ~USD 20/mmbtu vs USD 10.7/mmbtu at the end of Feb'26. In line with that, NBP price also inched up to USD 17/mmbtu from USD 10.5 during the same time frame. Though on a positive side, Henry Hub price is holding up and remained stable during this period at around USD 3/mmbtu where nearly ~6mmt of LNG is linked to that. As Qatar has taken the force majeure, around 25% of India's gas supply is disrupted.

Exhibit 7: Spot LNG/NBP Prices Surge while Henry Hub Remains Stable

Source: Company, Systematix Research

Our View: Due to uncertainty on the escalation of West Asia War, we keep a cautious view on the sector. With the recent strike at energy facilities including, upstream and refining assets across the Gulf countries, we might see further rise in prices and disruption of volume which may have a significant impact on energy deficient countries like India. Further, repairing and restarting the supply may also take a longer time which would bring a long-term pain to the sector. However, upstream and upstream services remain the biggest winner, downstream and usage industries may suffer. We also feel the recent strike would keep a long-term pain to RLNG companies like PLNG so we remove from our top pick. We keep RIL, Deep Industries and Gulf Oil as our top pick.

Exhibit 8: Oil & Gas Coverage - Valuation snapshot

Companies	CMP (Rs)	Reco	TP (Rs)	P/E (x)			EV/EBITDA (x)			P/BV (x)			RoE (%)		
				FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Reliance Industries Ltd	1,392	BUY	1,700	25.1	22.8	20.8	10.8	10.0	9.2	2.1	1.9	1.8	8.9	8.4	8.5
GAIL India Ltd	145	HOLD	176	14.6	11.4	10.5	10.1	8.1	7.3	1.5	1.4	1.3	10.1	12.1	12.3
Petronet LNG Ltd	272	BUY	342	10.4	9.4	8.8	5.7	5.2	4.9	1.9	1.7	1.5	18.2	18.3	17.6
Gujarat Gas Ltd	353	HOLD	447	19.5	18.3	17.3	11.7	10.8	9.7	2.6	2.4	2.2	13.6	13.4	12.6
Indraprastha Gas Ltd	155	BUY	226	13.9	11.4	10.4	8.8	6.8	6.0	2.1	1.9	1.6	15.0	16.3	15.8
Mahanagar Gas Ltd	1,006	BUY	1,374	10.3	10.5	10.2	5.2	4.7	4.1	1.5	1.4	1.3	15.0	13.5	12.8
Gulf Oil Lubricants India Ltd	930	BUY	1,660	13.2	10.6	9.5	6.2	4.8	3.7	2.9	2.6	2.4	22.7	26.2	26.5
Deep Industries Ltd	367	BUY	693	9.0	7.5	6.4	7.0	6.2	4.7	1.4	1.2	1.1	14.8	15.3	15.6

Source: Bloomberg, Systematix Research

Exhibit 9: Stock performance over a decade

Name	CMP (Rs)	Price change (%)							
		Week	1 Month	3 Months	6 Months	1 Yr	YTD	5 Yr	10 Yr
Reliance Industries Ltd	1,392	(0.2)	(1.2)	(11.1)	(1.1)	11.6	(11.4)	46.8	494.8
GAIL India Ltd	145	(4.9)	(13.2)	(14.7)	(20.3)	(12.7)	(15.9)	56.9	112.6
Petronet LNG Ltd	272	(8.3)	(9.9)	(0.7)	(2.3)	(8.6)	(4.3)	21.4	114.1
Gujarat Gas Ltd	353	(9.1)	(13.5)	(10.7)	(18.8)	(10.2)	(14.4)	(32.1)	234.5
Indraprastha Gas Ltd	155	(4.4)	(7.9)	(20.2)	(28.1)	(19.9)	(20.5)	(39.5)	189.3
Mahanagar Gas Ltd	1,006	(4.2)	(10.1)	(12.6)	(25.2)	(24.5)	(11.5)	(9.6)	139.0
Gulf Oil Lubricants India Ltd	930	(7.9)	(15.1)	(23.2)	(27.1)	(26.5)	(22.5)	29.1	93.7
Deep Industries	367	7.4	(2.7)	(17.5)	(31.7)	(24.9)	(20.4)	1,839.7	1,839.7
Indian Oil Corp Ltd	143	(10.4)	(17.7)	(11.8)	(3.4)	12.3	(13.8)	117.9	118.1
Bharat Petroleum Corp Ltd	288	(11.9)	(21.8)	(21.4)	(12.8)	8.4	(25.1)	32.8	98.3
Hindustan Petroleum Corp Ltd	327	(14.8)	(24.6)	(30.3)	(20.7)	(0.2)	(34.4)	109.2	189.4
Chennai Petroleum Corp Ltd	1,016	7.7	13.4	14.5	36.9	77.3	21.5	865.2	415.4
Mangalore Refinery & Petrochemicals Ltd	185	(3.4)	(4.6)	24.7	42.4	59.5	21.6	352.1	223.5
Oil & Natural Gas Corp Ltd	269	(0.7)	(2.2)	15.4	13.5	15.5	11.8	143.2	86.0
Oil India Ltd	475	(0.8)	(0.3)	17.4	17.6	23.2	12.0	495.9	348.9
Gujarat State Petronet Ltd	259	(6.9)	(13.6)	(10.4)	(17.5)	(6.4)	(15.3)	(0.2)	88.0
Adani Total Gas Ltd	560	(7.8)	7.3	(1.5)	(14.0)	(10.1)	(1.2)	(24.2)	640.7
BSE OIL & GAS	25,993	(5.5)	(9.9)	(6.9)	(3.1)	7.6	(9.5)	70.5	184.5
NSE Nifty 50 Index	23,091	(2.3)	(9.3)	(11.1)	(8.8)	0.8	(11.6)	56.6	199.7

Source: Bloomberg, Systematix Research

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